

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-09

Served: May 6, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

SCHEDULING ORDER

On February 14, 2024, Complainants Impact Products, LLC and Safety Zone, LLC filed a verified complaint with the Federal Maritime Commission (“FMC” or the “Commission”) alleging violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10) in connection with demurrage, detention, per diem, and yard storage charges assessed by COSCO Shipping Lines Co. Ltd. (“COSCO”) in 2021 and 2022 that were not just or reasonable because of circumstances outside the control of Complainants, such as congestion at ports and shortage of equipment. On March 11, 2024, COSCO filed a motion to dismiss the complaint, arguing that Complainants lack standing because they are not “direct purchasers” of COSCO’s services. In support of this argument, COSCO points out that the complaint states that Complainants were invoiced for the disputed charges by Laufer Group International, described as a freight forwarder in the complaint, which was “acting as a conduit” for the COSCO charges. Compl., ¶ 12. Since Laufer was a non-vessel operating common carrier (“NVOCC”) and could not have been acting as a freight forwarder with respect to Complainants import shipments, Laufer was shipper with respect to COSCO and a carrier with respect to Complainants. Mot. to Dismiss, pp. 5-6.

On March 26, 2024, Complainants filed an opposition to the motion to dismiss. In the opposition, Complainants argue that the complaint adequately alleges that it was Complainants who paid COSCO for the disputed charges, citing paragraphs 12 and 19 of the complaint. Opp’n, p. 6. But paragraph 12 makes no mention of payment – it states that Laufer invoiced Complainants, acting as a “conduit for the charges that were sent by COSCO,” without any mention of who paid COSCO. Compl. ¶ 12. Paragraph 19 states that the charges were “assessed by COSCO and paid by Complainant,” but in conjunction with paragraph 12’s allegation that it was Laufer who invoiced Complainants for the charges, it is still unclear who paid COSCO.

Complainants further argue that the applicability of the direct purchaser rule is limited to situations where the indirect purchasers are too far removed from the chain of distribution such that there is a risk of duplicative recovery and the calculation of damages becomes too complicated (*citing In re Vehicle Carrier Services*, 1 FMC 2d 440, 2019 WL 5558120 (FMC

Oct. 21, 2019)) or where a party seeks to recover reparations on behalf of others (*citing Gov't of Guam v. Sea-Land*, 25 S.R.R. 842 (ALJ 1990)). Opp'n, pp. 5-6.

Under the Commission's direct purchaser rule, parties seeking reparations for charges assessed in violation of the Shipping Act can only recover if they actually paid the carrier, received an assignment from the party who did pay, or are an agent of that party. *In re Vehicle Carrier Services*, 2019 WL 5558120 at *5. The Commission's application of this rule does not appear to be as limited as Complainants suggests, and has barred recovery of reparations even in situations where a complainant sought recovery on its own behalf, and where the calculation of reparations would presumably be straightforward since there was only one shipper and one consignee (*see Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Sep. 28, 1979) (complainant consignee could not recover overcharges paid by shipper in the absence of an assignment, even if consignee ultimately bore the burden of the charges)) or where a parent company was seeking to obtain charges paid by its wholly owned subsidiary. *Rohm & Hass Co. v. Italian Line*, 21 S.R.R. 212 (FMC Nov. 13, 1981) (where complainant's wholly owned foreign subsidiary paid the disputed charges, Commission directed complainant to obtain and file assignment). A "pass-through" or "conduit" theory appears to have been uniformly rejected. *Gov't of Guam v. Sea-Land Service, Inc.*; 29 S.R.R. 894, 902 (ALJ March 27, 2002, admin. final May 22, 2002) ("Uniformly, the rule has been deemed to require rejection of reparations claims by persons who...claim reparations by arguing that the direct payor passed the carrier's charges on to them.").

Finally, Complainants state that they "will receive a valid assignment of the claim from Laufer." Opp'n, pp. 8-9. The complaint makes no mention of this assignment.

Under 46 C.F.R. § 502.66(a), "[t]he presiding officer may direct a party to state its case more fully and in more detail by way of amendment." Given complainant's intention to obtain an assignment that is not mentioned in the complaint, as well as the general confusion over the relationships between the parties, the Complainants are **ORDERED** to file an amended complaint. The amended complaint should include any further details regarding the shipments and charges at issue that Complainants wish to add to state their case more fully and must set forth with specificity who paid whom for the disputed charges and when they were paid. In the event Complainants obtain the anticipated assignment from Laufer, this assignment must also be included in the amended complaint. Complainants are authorized to serve the amended complaint to COSCO directly but must contemporaneously file with the Office of the Secretary with a courtesy copy to Judges@fmc.gov. 46 C.F.R. 502.66(b). In the event Complainants amend their complaint by adding Laufer as a party, Complainants must file the amended complaint with the Office of the Secretary to be served in accordance with 46 C.F.R. § 502.113(b).

In the interest of judicial economy, I will **DEFER** ruling on the motion to dismiss until after the amended complaint is filed. The parties are **ORDERED** to adhere to the following schedule:

May 21, 2024

Amended Complaint due

June 5, 2024

Answer to Amended Complaint due

Extensions to these deadlines will only be granted in extraordinary circumstances. All other deadlines and requirements of the February 28, 2024 Initial Order remain in effect.

ALEX
CHINTELLA

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ALEX CHINTELLA
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Alex M. Chintella
Administrative Law Judge